

Custom
Managed
Portfolios

Aviso 5-year
Bond Ladder
(Taxable)

Quick facts

Asset class:
Canadian Bonds

Management style:
Income¹

Number of holdings:
10

Portfolio manager:
Aviso Wealth

Minimum investment:
\$100,000

Inception Date:
November 1, 2023



What does the strategy invest in?

This strategy will invest in high quality bonds, with a focus on capital preservation. The portfolio will consist of ten bonds, diversified across Federal, Provincial, and Corporate segments of the Canadian bond market, with a systematic maturity profile on an approximate six month rolling ladder. As holdings mature, the proceeds are reinvested into longer duration assets.

Bond ladders are a proven fixed income investment strategy that can reduce the impact of interest rate changes and minimize reinvestment risk to support a more predictable portfolio return profile. When interest rates rise, investors can take advantage of the higher rate by reinvesting the proceeds of the last matured bond. On the other hand, should rates fall, a large portion of the portfolio can still benefit from the original (higher) rates that applied when the initial investment was made. Staying disciplined and reinvesting the proceeds from maturing bonds can help investors to ride out interest rate fluctuations.

The **Taxable** bond ladder strategy will optimize tax-efficiency by prioritizing investments in bond issues that are trading at a material discount from par value where possible. While this results in a lower current income due to the lesser coupon payments, the tax treatment of the return is more efficient because a portion of that bond’s return is now treated as capital gains and taxed at a lower rate than interest income. This results in a higher after-tax return for the investor.

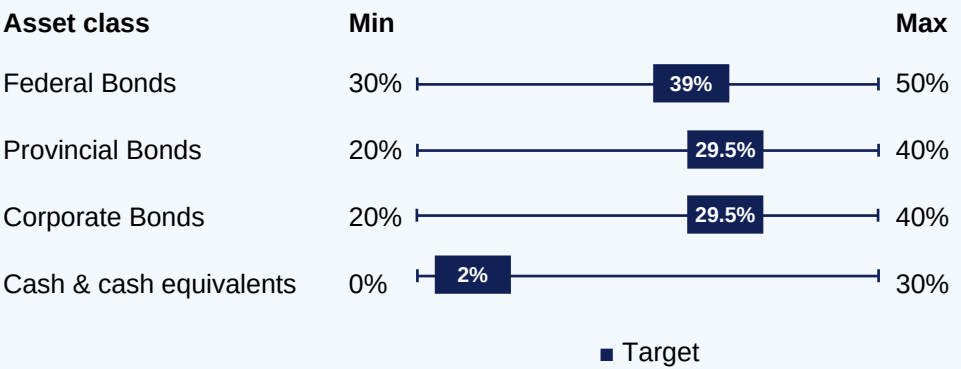
Current holdings

1. ONT PROV 2.65% 05FEB25	9.8%	6. ALTA PROV 2.55% 01JUN27	9.8%
2. MANULIFE BK 1.504% 25JUN25	9.8%	7. CDA HSG 80 2.35% 15MAR28	9.8%
3. CDA HSG 1 SR 67 1.95% 15DEC25	9.8%	8. RBC 1.833% SR 31JUL28	9.8%
4. ONT PROV 2.40% 02JUN26	9.8%	9. CDA HSG 85 2.65% 15DEC28	9.8%
5. BMO 2.70% 09DEC26	9.8%	10. CDA GOVT 2.25% 01JUN29	9.8%

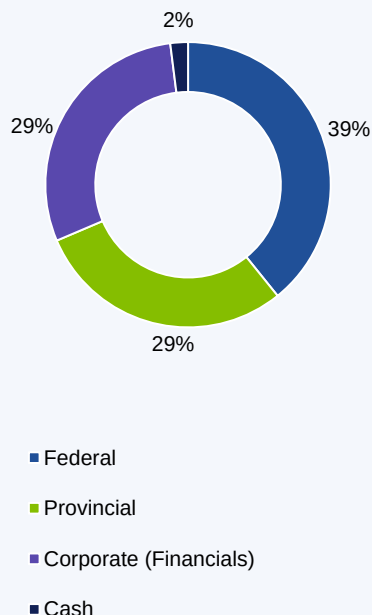
Portfolio attributes

Average yield to maturity (YTM)	Maturity weighted YTM	Average Current Yield (CY)	Maturity weighted CY	Average credit rating	Modified duration
3.47%	3.54%	2.34%	2.53%	AA	2.5

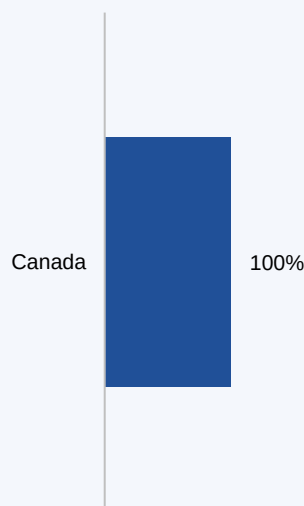
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Overview

Global Equity Markets

Global equity markets saw strong gains in Q3 2024, with the MSCI All-Country World Index advancing significantly. This rally was driven by the Federal Reserve's commencement of its rate-cutting cycle in September, which boosted investor confidence. The Fed's decision to cut its key rate by 50 basis points, larger than expected, signaled a shift in monetary policy that supported risk assets globally. Excluding the U.S., global markets performed even better, as measured by the MSCI All-Country World Ex-US Index. This outperformance reflects the broader market rally beyond U.S. borders, as investors sought opportunities in other developed and emerging markets.

The Canadian S&P/TSX Composite TR Index led with strong returns, demonstrating the resilience and attractiveness of Canadian equities in the current global economic environment. The U.S. S&P 500 TR Index lagged, posting moderate gains, as some mega-cap tech stocks experienced a pullback. This underperformance relative to other markets reflects a rotation out of technology stocks into other market segments, including small-caps and value stocks. Despite this, the S&P 500 still delivered solid returns, with the index reaching new all-time highs by the end of the quarter.

Canadian Equities

Within the Canadian equity landscape, the S&P/TSX Composite TR Index rose markedly. This strong performance was supported by the Real Estate, Health Care, and Financials sectors. Larger Canadian companies, represented by the S&P/TSX 60 TR Index, outpaced smaller firms within the S&P/TSX SmallCap Index. This outperformance of large-caps suggests a preference for more

established companies with stronger balance sheets during the quarter. Sector-wise, Real Estate, Health Care, and Financials were the best-performing sectors, while Consumer Staples, Industrials, and Energy sectors struggled.

US Equities

In the U.S., the S&P 500 Total Return Index rallied higher, alongside the Dow Jones Industrial Average TR Index that outperformed the NASDAQ Composite TR Index. This divergence was partly due to a rotation out of technology stocks into other market segments. Small-cap stocks, represented by the Russell 2000 TR Index, led the way, benefiting from expectations of lower interest rates. Among the S&P 500 sectors, Utilities, Real Estate, and Industrials were the top performers, while Information Technology, Communication Services, and Energy sectors were the laggards.

International Equities

On the international front, regions within Europe, Australasia, and the Far East (EAFE) showed mixed results. Hong Kong, Israel, and Belgium outperformed, while Japan, the Netherlands, and Denmark underperformed. In emerging markets, China's strong performance was supported by new stimulus measures announced during the quarter. South Africa and India also stood out, while Taiwan, Mexico, and South Korea faced challenges.

Global Factors

Analyzing factor indices, the MSCI World Value Index outperformed, while the MSCI World Momentum Index lagged. The significant outperformance of value stocks compared to growth stocks reflected the market's rotation away from the previously dominant growth and technology sectors. This shift was

supported by attractive valuations of value stocks, expectations of interest rate cuts, and a broader market trend favoring previously underperforming sectors.

Global Bond Markets

The global bond market experienced varied performance, with a global bond index excluding the U.S. leading. This strong performance in global bonds was driven by expectations of interest rate cuts and a more dovish tone from central banks. The Canadian bond index trailed, despite the Bank of Canada's active rate-cutting cycle, which saw three consecutive rate cuts bringing the benchmark rate to 4.25% by September 2024. On the issuer side, the global government bond index was the top performer, whereas the global high-yield bond index had a lower return.

Canadian Bond Market

In Canada, the Canadian high-yield bond index posted a strong return, outperforming the Canadian government bond index. This higher performance in high-yield bonds suggests an increased risk appetite among investors, despite indications of an economic slowdown. Long-term Canadian bonds outperformed short-term bonds, supported by the decline in yields across the yield curve. Yields on Canadian government bonds generally decreased, with the 2-year yield falling significantly and the 10-year yield also declining. This resulted in the yield curve returning to a normal shape during the quarter, as the 2-year yield fell below the 10-year yield for the first time in over two years, reversing the previous inversion.

US Bonds and Currencies

In the U.S., government bond yields decreased, with the 2-year yield dropping considerably and the 10-year yield also declining. This decline in yields was driven by expectations of future rate cuts by the Federal Reserve, which began its easing cycle in September.

Notably, the U.S. yield curve normalized during the quarter, ending more than two years of inversion as short-term yields fell below long-term yields. The yield curve is now positively sloped, with 2-year yields slightly lower than 10-year yields. This normalization typically reflects improved economic outlook and expectations of monetary policy easing. The Canadian dollar appreciated modestly against the U.S. dollar, while the U.S. dollar weakened against major global currencies, reflecting shifting monetary policy expectations and global economic dynamics. Notably, it strengthened most against the Mexican Peso, British Pound, and New Zealand Dollar but underperformed against the Singapore Dollar, Swiss Franc, and Japanese Yen.

Energy

Energy markets faced significant declines in oil prices, with WTI crude and Brent crude both falling sharply, primarily due to increased U.S. production and waning demand from China. The U.S. Energy Information Administration lowered its 2024 forecasts for both benchmarks, citing slowing global economic activity. In contrast, natural gas prices rose notably, driven by tighter supply-demand fundamentals and geopolitical tensions. The International Energy Agency forecasts global gas demand to rise by the end of 2024, led by growth in Asian markets and a rebound in Europe's industrial demand, while warning of potential future volatility due to the fragile balance in the gas market.

Investment manager overview

The Aviso Investment Management team brings together top investment specialists and analysts, including four registered Portfolio Managers, eight CFA charter holders and more than 60 years of combined industry experience, to provide clients with a comprehensive range of professionally designed and managed financial products and solutions.

Investment philosophy

We adhere to a philosophy that encompasses the following principles:

- 1. Investment decisions are made in the best interests of our clients.
- 2. Investment decisions are made in accordance with the general level of risk appropriate for the specified mandate.
- 3. Investment decisions are made in accordance with defined prudent standards; and
- 4. Investment practices adhere to the principles of quality (or safety) of the investment and overall risk diversification.

Investment process and risk controls

The primary investment objective of the strategy is to generate a steady stream of high-quality income (in Canadian dollars) and to minimize trading cost. This strategy will follow a disciplined and systematic ladder investment strategy and will comprise only of high-quality bond holdings.

Credit Rating – the strategy will be invested in high quality bonds, with a credit rating minimum of S&P/Moody’s/Fitch/DBRS credit rating of A+/A1/A+/A(low). Any of the holdings that are downgraded below this threshold will be sold and replaced with a similar maturing bond with the same intended characteristic.

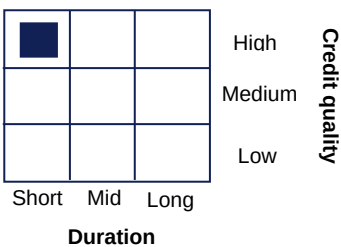
Maturity – the strategy will be constructed on a six-month ladder T + 5 year rolling basis.

Individual Security Holding Limits – the bond ladder is equally divided between all of the holdings; this will result in rolling consistent maturity interval; targeted size is 10% for each security.

Issuer – There are no issuer restrictions within the federal and provincial bond holdings provided that other criteria for ownership have been met; there can only be one corporate issuer per corporate bond holding within the portfolio at a given time.

Term limits – the maximum term to maturity at the time of purchase is 5.5 years; this will be the term of the last ladder issue, while providing a buffer if selection is limited.

Fixed income style²



Custom Managed Portfolios | Aviso 5-year Bond Ladder (Taxable)⁴

About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada’s largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada’s largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada’s credit unions and Desjardins



¹ Income: To generate a steady stream of income.

² Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

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